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Finding Report (CAR / CR / FAR)

Document No.	**MDSSPL-CBAM-R0003**	**Rev.**	1.0	**Issue Date**	05 NOV 2026	**Approved**	Director
Service	CBAM: EU Carbon Border Adjustment Mechanism (Service code CBAM)					**Service Group**	Carbon and climate

Engagement details			
Client / Organization		**Engagement Ref.**	
Site(s) / Boundary		**Verification Type**	☐ Initial ☐ Surveillance / Re-verification ☐ Follow-up
Criteria / Standards	☐ CBAM Regulation (EU) 2023/956 (amended) ☐ CBAM methodology IR ☐ CBAM verification IR ☐ EU ETS MRR 2018/2066 ☐ ISO 14064-3:2019 ☐ ISO 14065 ☐ Other [ ]		
Reporting Period		**Installation / Operator**	
Sector	☐ Iron & steel ☐ Aluminium ☐ Cement ☐ Fertilisers ☐ Electricity ☐ Hydrogen	**Goods (CN codes)**	
Lead Verification		**Date of Finding**	

Finding			
Finding No.		**Date Raised**	
Type of Finding	☐ CAR – Corrective Action Request ☐ CR – Clarification Request ☐ FAR – Forward Action Request		
Category	☐ Critical ☐ Major ☐ Minor ☐ Concern		
Nature of Finding	☐ Embedded emissions misstatement ☐ Methodology non-conformity ☐ Data / evidence gap		
Emission Type	☐ Direct ☐ Indirect ☐ Precursor	**CN Code / Production Route**	
Impact (tCO_2e)		**Impact on SEE (tCO_2e/t)**	

Description of finding		
Detail of finding		
Objective evidence (documents, records, data sampled, site observations)		
Requirement (quote the applicable clause / requirement)		
Clause reference	*Select from the lists below; add other criteria in the last row.*	
CBAM Requirements	– Select –	– Select –
ISO 14064-3:2019	– Select –	
Other criteria / ref.		
Lead Verifier		**Auditee**

		Representative	
Date		**Date**	

Response by the client			
Root cause			
Correction (immediate)			
Corrective action			
Corrected specific embedded emissions (tCO_2e/t)			
Proposed completion date		**Submitted by / Date**	

Review and closure by MDSSPL			
Acceptance of root cause and correction	☐ Accepted ☐ Not accepted Comments:		
Verification of corrective action			
Finding status	☐ Open ☐ Closed ☐ Carried forward as FAR ☐ Affects verification opinion		
Lead Verifier signature		**Date of closure**	

Annex A – CBAM Requirement Areas

Legal references as listed in the MDSSPL Service Hub; confirm against the current EU texts. CBAM verification must be performed by an accredited verifier.

Clause / Ref.	Title / Requirement
CBAM legal basis (as listed in the MDSSPL Service Hub)	
CBAM	Regulation (EU) 2023/956 as amended by Regulation (EU) 2025/2083
CBAM	Methodology – Implementing Regulation (EU) 2025/2547
CBAM	Default values – Implementing Regulation (EU) 2025/2621
CBAM	Free allocation adjustment – Implementing Regulation (EU) 2025/2620
CBAM	Verification – Implementing Regulation (EU) 2025/2546
MRR	EU ETS Monitoring and Reporting Regulation (EU) 2018/2066
Requirement areas	
CBAM	Goods in scope and CN codes
CBAM	Installation boundary and production processes / routes
CBAM	Monitoring methodology and monitoring plan
CBAM	Direct embedded emissions (fuels, process, flows)
CBAM	Indirect embedded emissions (electricity)
CBAM	Relevant precursors and their embedded emissions
CBAM	Attribution of emissions to goods and specific embedded emissions (SEE)
CBAM	Use of default values
CBAM	Carbon price paid in the country of origin
CBAM	Data quality, measurement and calibration
CBAM	Site visit and verification of embedded emissions
CBAM	Communication of data to the EU importer / declarant

Annex B – ISO 14064-3:2019 Clause Reference

Clause	Title	Typical verification focus
Clause 4 – Principles		
4.2	Impartiality	Verifier independence and absence of conflicts of interest
4.3	Evidence-based approach	Conclusions based on sufficient, appropriate evidence
4.4	Fair presentation	Findings and opinion reported truthfully and accurately
4.5	Documentation	Verification work and basis of conclusions documented
4.6	Conservativeness	Conservative assumptions where uncertainty exists
Clause 5 – Requirements applicable to verification		
5.1.3	Level of assurance	Reasonable or limited assurance agreed
5.1.4 – 5.1.6	Objectives, criteria and scope	Verification objectives, criteria (e.g. ISO 14064-1) and scope agreed
5.1.7	Materiality thresholds	Quantitative / qualitative materiality applied to findings
5.4.1	Verifier communication	Findings communicated to the responsible party for correction
5.4.2	Sufficiency of evidence	Evidence adequate to support conclusion on the finding
5.4.3	Intentional misstatement	Handling of suspected intentional misstatements
5.4.4	Documented information	Records of findings, responses and closure retained
Clause 6 – Verification		
6.1.1	Strategic analysis	Understanding of activities, sources and data flows
6.1.2	Risk assessment	Risks of material misstatement and non-conformity identified
6.1.3.2	Data trail	Tracing data from source records to the GHG statement
6.1.3.3	GHG information system and controls	Testing of controls over GHG data
6.1.3.4	GHG data and information	Testing of activity data, emission factors and calculations
6.1.3.5	Data aggregation process	Consolidation of facility data into the GHG statement
6.1.3.6	Verification activities and techniques	Analytical, control and estimate testing; sampling; ownership
6.1.4	Site visits	Site selection and on-site verification activities
6.2	Execution	Evidence-gathering carried out as planned
6.3.1.2	Sufficiency and appropriateness of evidence	Whether evidence supports closure of the finding
6.3.1.3	Evaluation of material misstatements	Individual and aggregate misstatements against materiality
6.3.1.4	Evaluation of conformity with criteria	Non-conformities with ISO 14064-1 or programme rules
6.3.1.5	Evaluation of changes from prior periods	Base-year / prior-period changes
6.3.2	Conclusion and draft opinion	Effect of unresolved findings on the opinion
6.3.3	Verification report	Findings summarised in the verification report
Clauses 8 – 10		
8	Independent review	Review of findings and conclusions before opinion
9	Issuance of opinion	Unmodified, modified, adverse opinion or disclaimer
10	Facts discovered after the verification	Handling of facts found after issue of the opinion

Annex C – Finding Types and Categories

Term	Meaning
CAR	Corrective Action Request: a misstatement or non-conformity that must be corrected and closed before a positive conclusion, opinion, certificate or claim can be issued.
CR	Clarification Request: information is insufficient or unclear to decide whether a requirement is met; the client must provide clarification or evidence.
FAR	Forward Action Request: an issue to be addressed and checked in the next period; it does not prevent the current conclusion.
Embedded emissions misstatement	Direct, indirect or precursor emissions or the SEE differ from the evidence.
Methodology non-conformity	Boundary, production route, monitoring method or attribution does not follow the CBAM rules.
Data / evidence gap	Activity data, calibration, supplier precursor data or records are missing.
Critical	Finding that alone makes the reported information materially wrong or prevents a conclusion; immediate correction required.
Major	Systematic or significant failure that could lead to a material error or invalid claim if not corrected.
Minor	Isolated lapse not likely to cause a material error or invalid claim on its own.
Concern	Observation or opportunity for improvement; no action is mandatory.

Severity categories are suggested definitions aligned with MDSSPL procedures. Clause titles are summarized for reference; refer to the licensed standards and current regulatory texts for full requirements.